

INTERNATIONAL HUMAN RESOURCE MANAGEMENT

Assignment 11

1. Why is cross-national comparison of industrial relations systems difficult?

A. Cross-national comparison is difficult because labour relations concepts change meaning across different national contexts. For example, collective bargaining in the United States refers to negotiations between a union local and management, whereas in Sweden and Germany it occurs at the industry level between employer associations and trade unions. Historical origins and ideological differences further complicate comparison.

B. Cross-national comparison is easy because industrial relations systems operate under similar legal frameworks worldwide. Differences are limited to minor administrative variations, while the essential bargaining processes and union objectives remain uniform across countries.

C. Industrial relations systems differ only in wage levels, and therefore, comparison is straightforward. Once wage structures are standardised, all countries follow identical approaches to bargaining and dispute resolution.

D. Comparison is difficult mainly because multinational corporations deliberately obscure labour data across countries to prevent benchmarking and transparency.

Correct Answer: A

2. Why do trade unions perceive multinationals as a threat to labour bargaining power?

A. Trade unions view multinationals as a threat due to their formidable financial resources, alternative sources of supply, ability to relocate production internationally, remote decision-making authorities, and capacity to stage investment strikes. These characteristics weaken national unions' leverage and complicate efforts to develop effective countervailing power.

B. Multinationals are seen as threats because they always oppose unions and uniformly adopt anti-union policies across all host countries.

C. Unions perceive threats mainly because multinational firms are exempt from national labour laws and operate beyond legal accountability.

D. Trade unions consider multinationals harmless since they encourage job creation and investment in all host countries.

Correct Answer: A

3. **What major shift in regulation affecting IHRM occurred during the 1980s and 1990s?**

A. There was no significant change in regulatory approaches, as governments continued to strictly regulate MNCs.

B. The period witnessed stronger state intervention and expansion of legally binding employment protections aimed at restricting multinational corporate activities.

C. Regulation during this period focused exclusively on strengthening trade unions and expanding collective bargaining rights globally.

D. During the 1980s and 1990s, regulation shifted away from a nationally based, state-led approach toward agendas prioritising deregulation. Governments reduced constraints on firms, especially MNCs, emphasising market mechanisms, flexibility, and management prerogative. This marked a move away from attempts to control MNCs through national legal frameworks.

Correct Answer: D

4. **Why is regulation considered central to understanding the political and economic dimensions of IHRM?**

A. Regulation is limited to legal compliance and has little relevance to broader political or economic processes.

B. Regulation is important mainly because it maximises corporate profits by eliminating uncertainty in global labour markets.

C. Regulation links politics and economics by facilitating social and economic reproduction. It establishes order and regularity through shared rules, ensuring a predictable supply of effective labour and a stable social environment. Regulation provides predictability for firms and workers, shaping HRM decisions related to employment practices, wages, and labour relations.

D. Regulation exists solely to protect workers and has no implications for firms' strategic HRM decisions.

Correct Answer: C

5. What problems are associated with deregulation in a global IHRM context?

A. Deregulation has eliminated labour conflicts and ensured uniform global employment standards.

B. Deregulation has contributed to uneven and unfair labour standards, ethical concerns, and deteriorating employment conditions, particularly in developing economies. Pressure for low labour costs creates tensions, and regulatory interventions from developed countries may be perceived as neo-colonial. These challenges highlight the limitations of unfettered MNC flexibility.

C. Problems are limited to developed economies and do not affect developing countries.

D. Deregulation has strengthened trade unions and expanded worker protections worldwide.

Correct Answer: B

6. What role does the International Labour Organisation (ILO) play in shaping labour standards for IHRM?

A. The ILO establishes international labour benchmarks and conventions covering employment rights, including child labour and everyday workplace practices. Although enforcement varies, these standards form part of intergovernmental dialogue among governments, employer bodies, and trade unions, influencing HRM and IHRM practices and shaping political sensitivities around labour malpractice and unethical employment behaviour.

B. The ILO directly enforces labour laws within multinational corporations through binding legal sanctions across all member states.

C. The ILO functions mainly as a financial institution supporting MNC investment in developing economies.

D. The ILO focuses exclusively on economic growth and does not address employment or HRM-related issues.

Correct Answer: A

7. **What is the difference between macro and micro political risk analysis?**

A. Macro analysis applies only to domestic firms, while micro analysis applies only to MNCs.

B. Macro political risk analysis examines political decisions affecting all firms in a country, such as foreign exchange controls. Micro political risk analysis focuses on policies affecting specific sectors or firms, such as telecommunications regulations or steel-dumping cases. Together, they help MNCs assess general and sector-specific threats to foreign operations.

C. Micro risk analysis studies global trends, while macro analysis focuses on individual firms.

D. There is no meaningful distinction between macro and micro political risk.

Correct Answer: B

8. **What role do trade unions play in industrial relations systems?**

A. Trade unions protect workers' economic and social interests through collective bargaining, resistance to unfair management practices, and political engagement. They aim to improve wages, benefits, job security, and working conditions, while also enhancing workers' bargaining power and participation in organisational decision-making processes.

B. Trade unions exist primarily to support management objectives.

C. Trade unions function only as welfare organisations without bargaining power.

D. Trade unions focus solely on political activities unrelated to workplaces.

Correct Answer: A

9. **How is Industrial Relations (IR) defined in the context of IHRM?**

A. Industrial Relations is a system by which workplace activities are regulated, involving owners, managers, and employees working together in productive activity. It covers collective bargaining, the roles of management, unions and government, dispute-resolution machinery, grievance handling, labour legislation, and IR training, making it a critical component of international human resource management.

B. Industrial Relations deals only with wage determination and excludes dispute resolution and legislation.

C. Industrial Relations is concerned solely with employer–government interactions.

D. Industrial Relations focuses only on individual employee performance management.

Correct Answer: A

10. How does the pluralistic approach explain industrial conflict?

A. Trade unions are considered unnecessary in pluralism.

B. Conflict is viewed as abnormal and harmful to organisations.

C. The pluralistic approach views organisations as coalitions of competing interests where conflict between management and employees is inevitable and legitimate. Trade unions are recognised as valid representatives, and stability is achieved through collective bargaining, compromise, and state intervention via legislation and tribunals to regulate conflict.

D. The pluralistic approach rejects collective bargaining mechanisms.

Correct Answer: C